

Fearnleys Dry Bulk Weekly

May 20, 2026





Capesize/Newcastlemax

Two weeks ago, we wrote "The market has kept rallying, diverging from the development of the laden/ballast ratio and the South Atlantic tightness indicator. The C5TC 180/P5TC ratio has usually peaked around 2.5 in the last years, which suggests an index of around 50kpd might be the ceiling for the current rally."

We expect the market to continue correcting in the near-term.

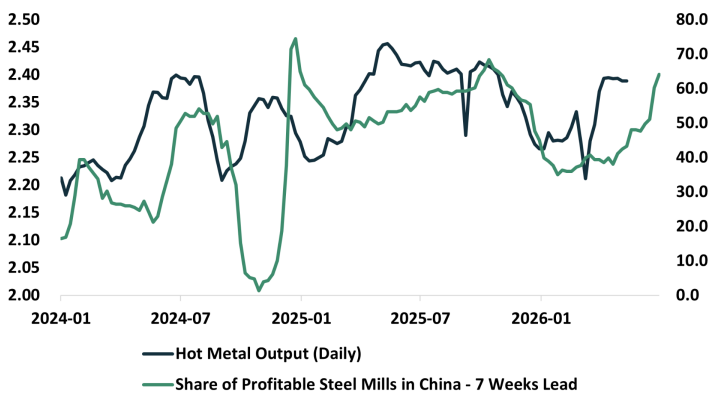
Top left chart: Iron ore consumption has been unchanged for several weeks. Increasing mill profitability suggest consumption could rise in the near-term. However, the peak season is here now, so upside potential is probably limited.

Top right chart: Shipment volumes were 6.5% higher than last year through week 20. Still strongly positive, but down from the peak earlier this year. Supply growth is at 1.5%.

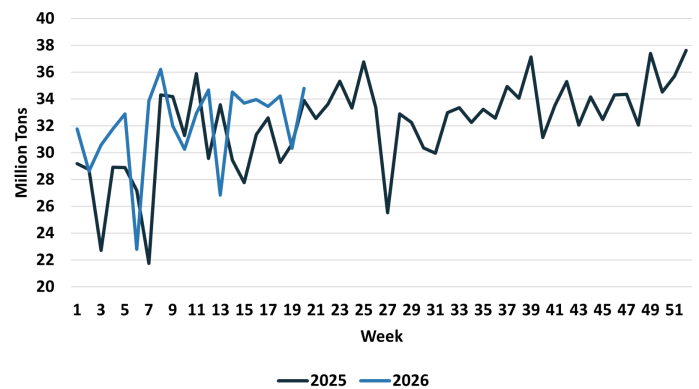
Bottom left chart: The SATI is still low, suggesting the market remains in toppish territory.

Bottom right chart: The laden/ballast ratio have turned down sharply over the last weeks. The reading is now close to the long-term average of 1.05, and is thus not suggesting anything clear in either direction.

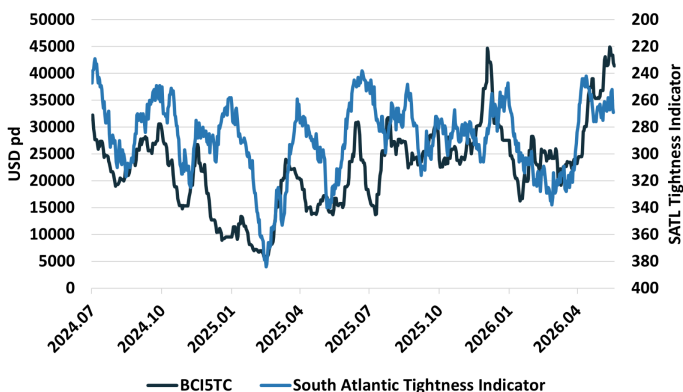
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



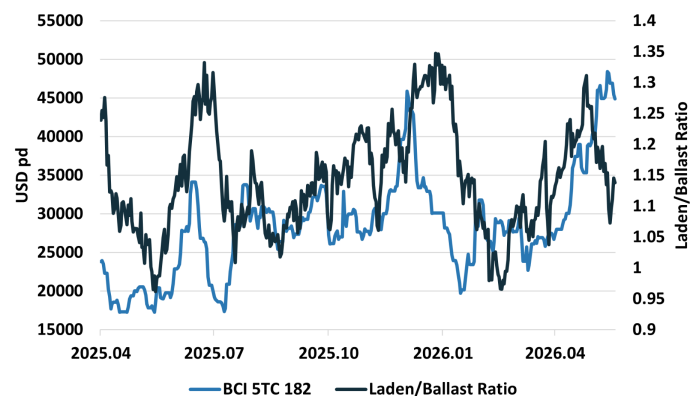
Weekly Shipment Volumes



C5TC 180 vs South Atlantic Tightness Indicator



Laden/Ballast Ratio



Panamax/Kamsarmax

Two weeks ago, we wrote *"The below indicators have all turned a bit more bearish since last week, suggesting the rally could soon halt."*

The below indicators suggest bearishness in the near-term.

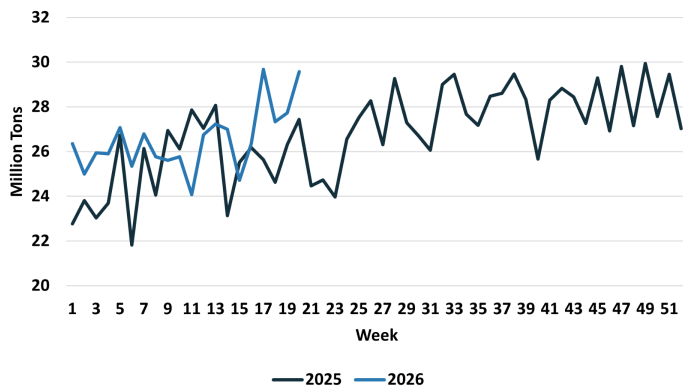
Top left chart: Shipment volumes were up 4.6% year on year through week 20, decreasing a bit over the last two weeks. Supply growth is at 4%.

Top right chart: The coal futures curve contango increased further over the last two weeks, suggesting downside for P5. Politics keeps interfering with energy markets, and the situation could turn swiftly.

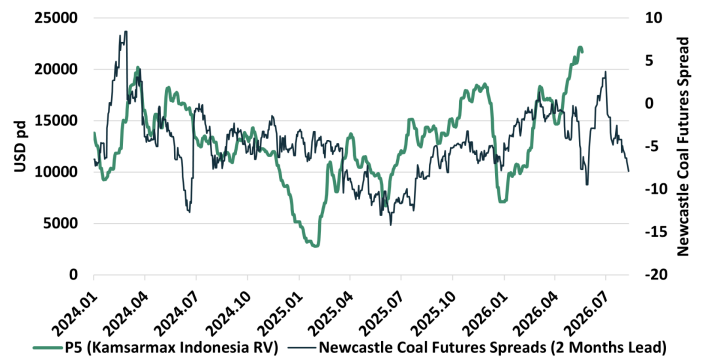
Bottom left chart: The Pacific tightness indicator suggests the market is close to a near-term peak.

Bottom right chart: The SATL tightness indicator suggests P6 is close to a near-term peak.

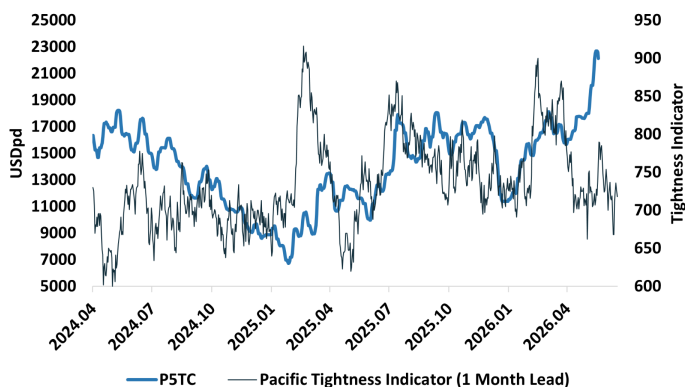
Weekly Shipment Volumes



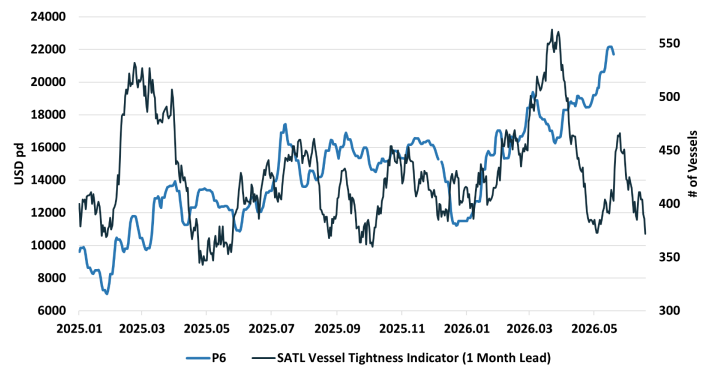
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)



Supramax/Ultramax

The below indicators suggest further upside is limited. Most likely, the S11TC index will drift sideways in the high teens.

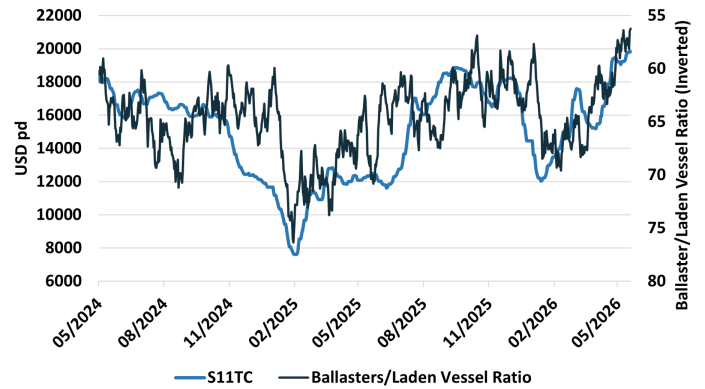
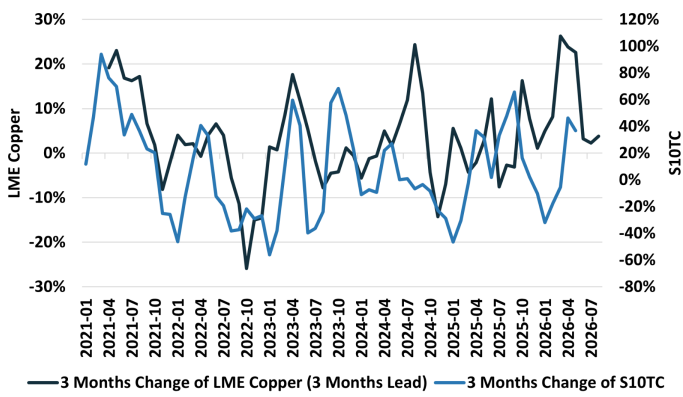
Top left chart: The three-month change in the price of copper seems to have correctly anticipated peak upward momentum of the Supra/Ultra indices last month. Going forward, the suggestion is for a sideways trending market.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

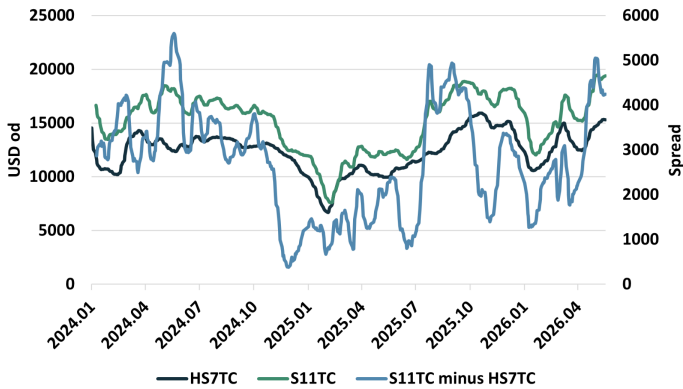
Bottom left chart: The Ultramax spread over the Handysize index is quite high, which usually means further upside is limited in the near-term.

Bottom right chart: Shipment volumes were up 5.7% year on year through week 20. Supply growth is at 5.2%.

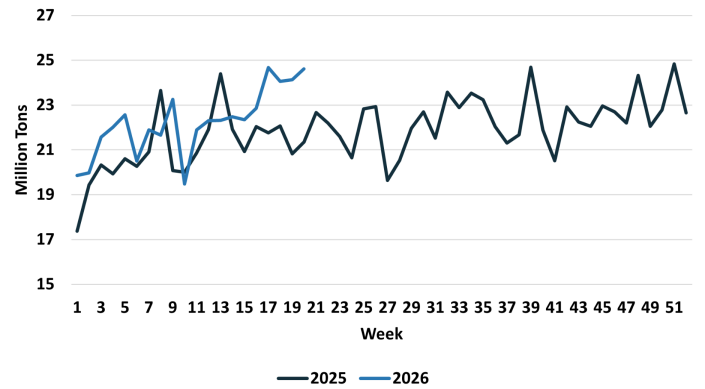
Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



S11TC / HS7TC spread



Weekly Shipment Volumes





Handysize

Two weeks ago, we wrote *"Further signs of a market peak since last week. The Ultramax rally has stalled, and the laden/ballast ratio have turned down (more ballast vessels)."*

The laden/ballast ratio has increased, but the Ultramax market has flattened. Fundamentals have weakened slightly. A minor down-move can be expected in the near-term.

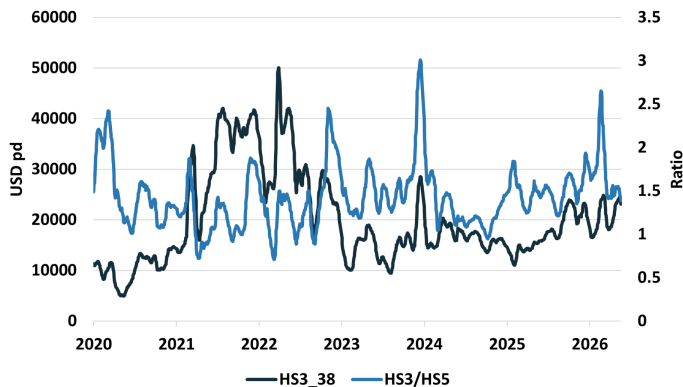
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.

Top right chart: Through week 20, Handysize shipment volumes were 4.1% higher year on year, decreasing a bit over the last few weeks.

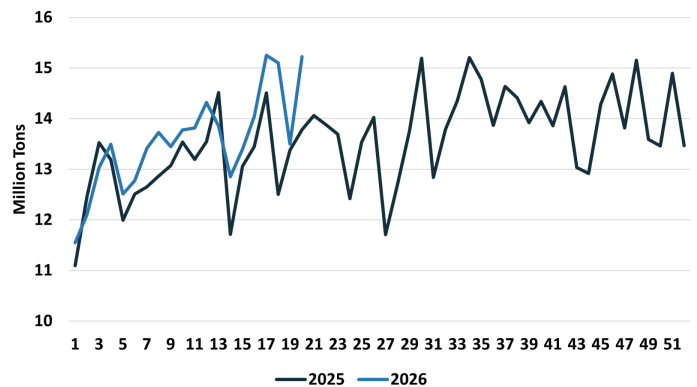
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

Bottom right chart: The laden/ballast ratio is an accurate measure of underlying fundamentals, shown by the high correlation it has with to HS7TC index.

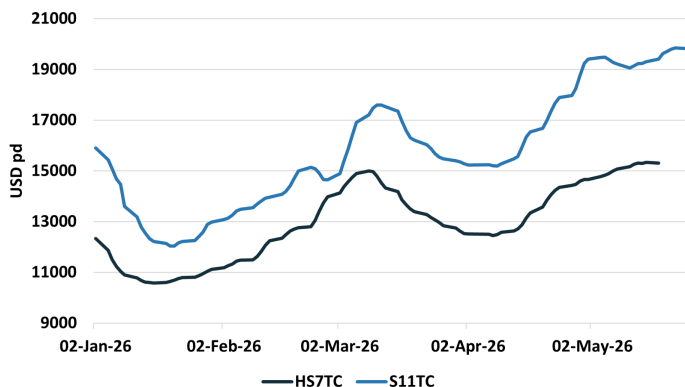
HS3 vs Ratio of HS3 and HS5



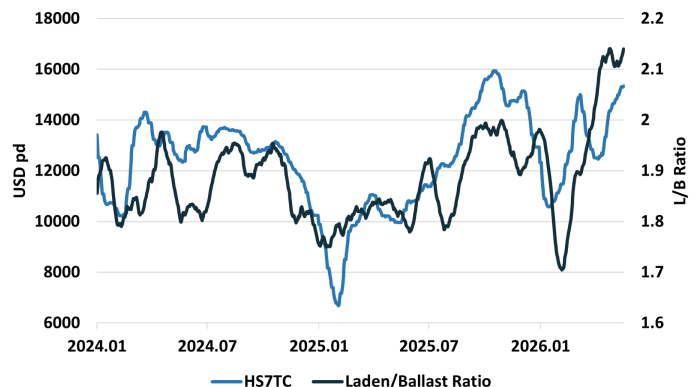
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Handysize 7TC vs Laden/Ballast Ratio





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